

using regression analysis. Again, Lusardi incorporated a wide array of proxy variables to control for resource and preference attributes of households that, though not explicitly measurable, could be expected to bias results. Rather than considering total pension wealth, for example, the analysis distinguished between households whose heads maintain defined contribution, defined benefit, or other types of pensions. The underlying logic here is that plan structure might impact the degree of discretion employees exercise over the allocation of pension assets and that this, in turn, might impact allocation of nonpension assets. The results of this analysis showed that lack of planning is also a strong determinant of portfolio choice. Households that do not plan are less likely to invest in stocks; this result is consistent even after a variety of factors have been accounted for.

In the HRS, respondents were asked to rate their retirement experiences, and to state how they felt retirement compared to their working years (see Table 19.2). More than 54 percent of those respondents who had not thought about retirement rated their retirement experiences poor with

TABLE 19.2 How Has Your Retirement Turned Out?

Retirement and Planning

How Much Have You Thought about Retirement?

How Has Your Retirement Turned Out to Be?	A Lot	Some	A Little	Hardly at All
Very satisfying	0.68	0.50	0.35	0.22
Moderately satisfying	0.28	0.41	0.46	0.35
Not at all satisfying	0.04	0.09	0.19	0.43
Number of observations	343	217	92	520
How Is Your Retirement Compared to the Years Just Before You Retired?	A Lot	Some	A Little	Hardly at All
Better	0.57	0.44	0.35	0.18
About the same	0.22	0.31	0.36	0.24
Not as good	0.11	0.15	0.22	0.54
Retired less than one year ago	0.10	0.10	0.07	0.04
Number of observations	343	217	92	520

Note: This table reports the fraction of respondents according to how they have rated retirement and how much they have thought about retirement.

Source: Annamaria Lusardi, "Explaining Why So Many Households Do Not Save" (working paper, Irving Harris Graduate School for Public Policy Studies, University of Chicago, 2000). Reprinted with permission.